

Payment Integrity Scorecard

Program or Activity

Centers for Medicare & Medicaid Services (CMS) - Medicare Advantage (Part C)

Reporting Period

Q3 2026

FY 2025 Overpayment Amount (\$M)*

\$21,434

*Estimate based a sampling time frame starting 1/2023 and ending 12/2023



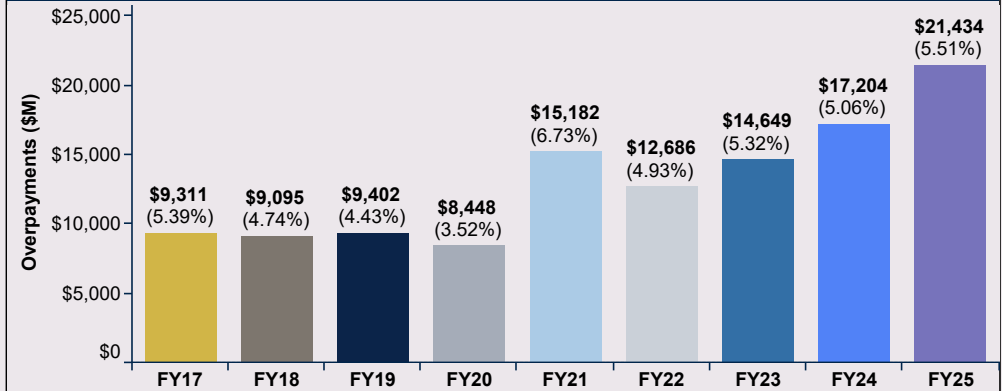
HHS

Centers for Medicare & Medicaid Services (CMS) - Medicare Advantage (Part C)

Brief Program Description & summary of overpayment causes and barriers to prevention:

Under the Medicare Advantage Program, also known as Medicare Part C, beneficiaries can opt to receive their Medicare benefits through a private health plan. Approximately half of all Medicare beneficiaries are enrolled in Medicare Advantage plans. The primary causes of overpayments are medical record discrepancies and insufficient documentation. Medicare Advantage Organizations are responsible for collecting and maintaining the documentation necessary to validate the data used in payment determinations. Medical records are not submitted to the agency at the time of making payment determinations.

Historical Payment Rate and Amount (\$M) (Overpayment as Percentage of Total Outlays)



Discussion of Actions Taken in the Preceding Quarter and Actions Planned in the Following Quarter to Prevent Overpayments

The Centers for Medicare & Medicaid Services (CMS) continued the implementation of the expanded payment year (PY) 2019 contract-specific Risk Adjustment Data Validation (RADV) audits of Medicare Advantage Organizations. Additionally, CMS issued reconsideration decisions for PY 2011, 2012 and 2013 RADV audits. CMS issued audit findings for PY 2014 and PY2015 RADV audits. CMS also initiated PY2020 and 2021 audits in March and May 2026 to align with the May 2025 published press release to complete PY2018-PY 2024 audits on an expedited basis. In June 2026, CMS hosted a Fraud, Waste, and Abuse Training Event. This training provided Medicare Advantage Organizations (MAOs), Prescription Drug Plans (PDPs) and Pharmacy Benefit Managers (PBMs) with information on emerging healthcare fraud trends, current fraud schemes, and fraud prevention techniques.

Accomplishments in Reducing Overpayment

Date

1	Responded to Hearing Officer questions regarding level 2 appeals for payment years 2011, 2012 and 2013 RADV audit appeals. Continued to process level 1 reconsideration appeals for PY2014 and PY2015.	Jun-26
2	Released the Utilization Trend Analysis, Durable Medical Equipment Supplier Risk Assessment reports and Medicare Part C Multiple Seasonal Influenza Vaccine Analysis.	May-26
3	Continued Risk Adjusted Data Validation audits of 355 contracts and 471 contracts for payment years 2019 and 2020. Initiated 492 new payment year 2021 audits in May 2026.	May-26

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Goals towards Reducing Overpayments		Status	ECD	Recovery Method	Brief Description of Plans to Recover Overpayments	Brief Description of Actions Taken to Recover Overpayments
1	Initiate accelerated and expanded Risk Adjustment Data Validation audits for payment year 2024.	On-Track	Sep-27	1 Recovery Activity	Issue audit reports for completed Risk Adjustment Data Validation audits.	Issued payment year 2014 and 2015 Risk Adjustment Data Validation audit reports to audited Medicare Advantage Organizations in January 2026 and began processing related appeals between January and July 2026.
2	Issue level 1 Risk Adjustment Data Validation reconsideration decisions for audits from payment years 2014 and 2015.	On-Track	Sep-26			

Amt(\$)	Root Cause of Overpayment	Root Cause Description	Mitigation Strategy	Brief Description of Mitigation Strategy and Anticipated Impact
\$21,434M	Overpayments that occurred because of a Failure to Access Data/Information Needed.	The primary causes of Medicare Advantage (Part C) overpayments are medical record discrepancies and insufficient documentation that does not prove that the beneficiaries have the diagnoses which were submitted by the Medicare Advantage Organization for increased payment.	Training – teaching a particular skill or type of behavior; refreshing on the proper processing methods.	Provide expanded education on improper payment requirements, the medical review process, and detailed submission instructions to reduce administrative or process errors made by Medicare Advantage Organizations which lead to overpayments.
			Change Process – altering or updating a process or policy to prevent or correct error.	Improve policy and guidance to reduce administrative or process errors made by Medicare Advantage Organizations which lead to overpayments.
			Audit - process for assuring an organization's objectives of operational effectiveness, efficiency, reliable financial reporting, and compliance with laws, regulations, and policies.	Conduct Risk Adjustment Data Validation Audits, which examine medical records to see if the diagnoses submitted for payment are accurate, to reduce administrative or process errors made by Medicare Advantage Organizations which lead to overpayments.